Five Problems Hiding Behind Hawaii's "Flat" 2025

A $400M Wake-Up Call for Tourism Stakeholders

Hawaii Tourism Authority | Island-Level CVBs | Hotel Operators

February 2026

Hawaii's 2025 looks stable — until you look closer

- **Visitors down just 0.4%** — 9.53M to 9.49M, a seemingly benign decline
- **Spending per visitor up 6.7%** — +$16.5/day PPPD, suggesting healthy demand
- **The reassuring read:** "Basically flat, spending is up, not bad"
- **The reality:** Five concurrent problems hiding beneath the aggregate

This analysis identifies five distinct problems across different islands, markets, and spending categories — collectively representing over $400M in impact. Each requires a different, targeted intervention.

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Statewide visitor arrivals and spending, 2025 vs 2024

9.49M	-0.4%	+$16.5	+6.7%
Total Visitors 2025	YoY Change (-40,162 visitors)	PPPD Growth ($/day YoY)	PPPD Growth Rate

Key Findings

- Statewide visitor count declined from 9.53M to 9.49M
- Spending per person per day grew from $245 to 261
- At the aggregate level, the picture appears stable

Recommendation

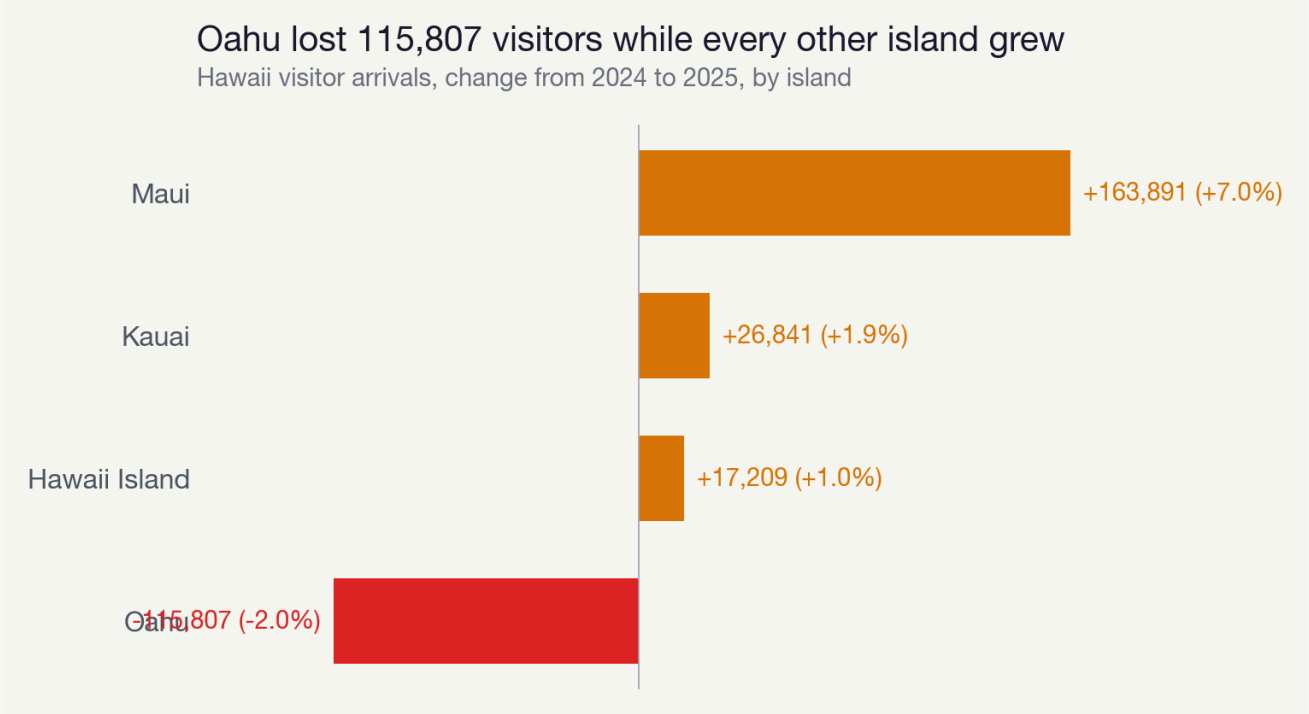
But does every island look this stable?

At the aggregate level, the picture appears stable — a modest volume dip offset by strong spending growth. The numbers invite a reassuring read.

The statewide number does not exist on any single island

One island is declining. Three are growing. The aggregate conceals the divergence.

The aggregate hides a Simpson's Paradox



This is a Simpson's Paradox

Oahu alone accounts for more than 100% of the statewide decline. Maui surged +7.0%, Kauai +1.9%, Hawaii Island +1.0%.

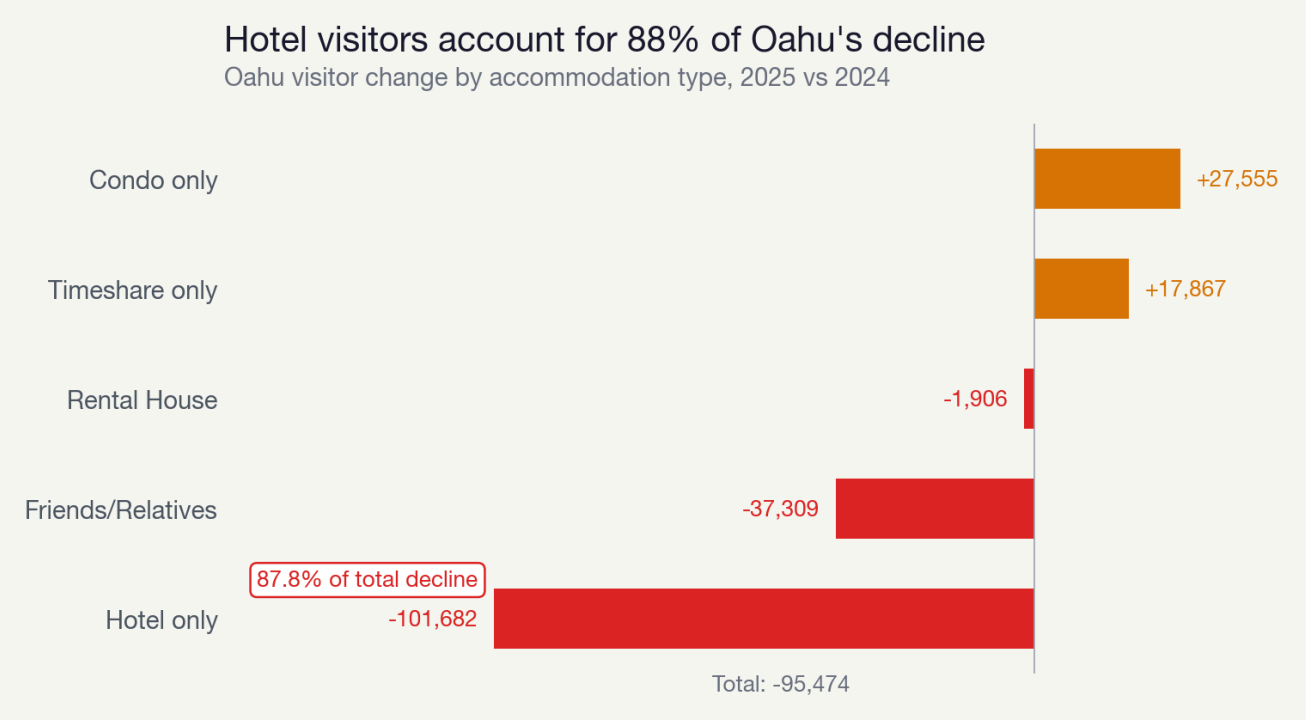
Any strategy based on the aggregate is optimizing for a reality that does not exist on any individual island.

Oahu's decline is a domestic hotel story — one segment explains 88%

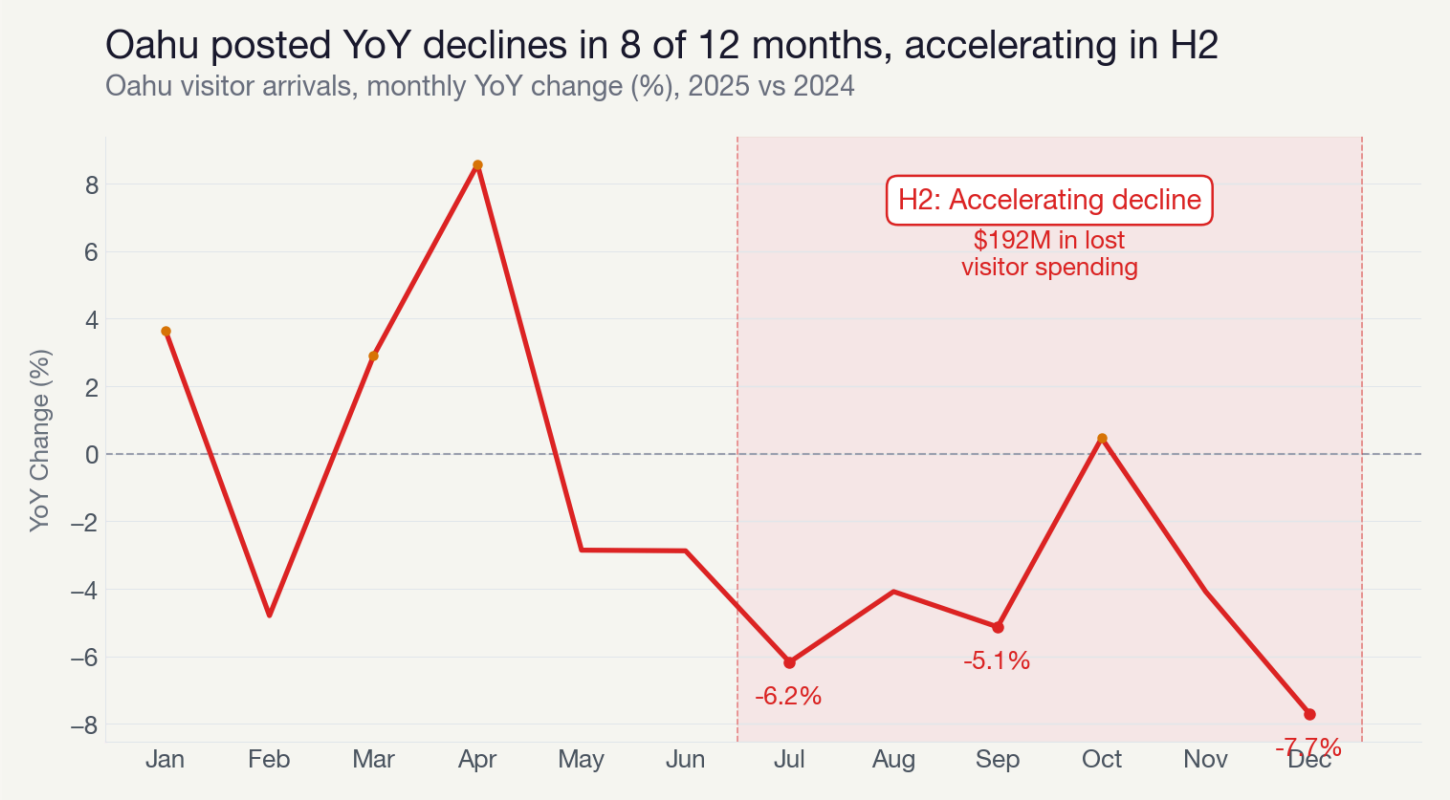
Hotel visitors: -101,682 (-2.8%)

Domestic flights declined -2.6%. International visitors flat (-0.1%). Condos and timeshares both grew +7.7%.

US mainland visitors are choosing not to stay in Oahu hotels — this is a value proposition problem, not a destination problem.



Oahu's H2 collapse cost an estimated $192M in visitor spending

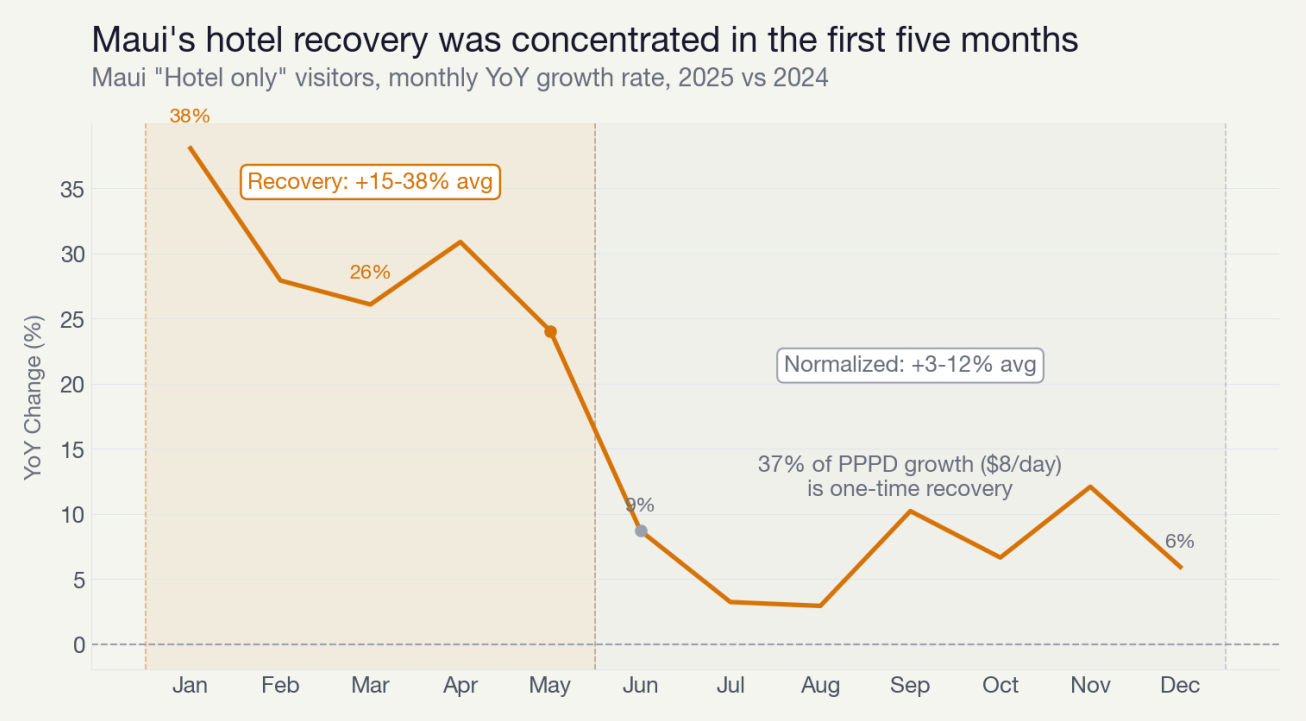


H1 was actually positive (+0.7%). H2 collapsed at -4.6%. The worst months: December (-12.3%), September (-12.1%), July (-6.2%). At $238/day PPPD and 6.97 days average stay, 115,807 lost visitors = ~$192M.

Maui's headline growth rate is not what it seems

37% of Maui's PPPD growth is a one-time effect that will normalize by mid-2026.

Maui's recovery is real but 37% is a one-time fire effect

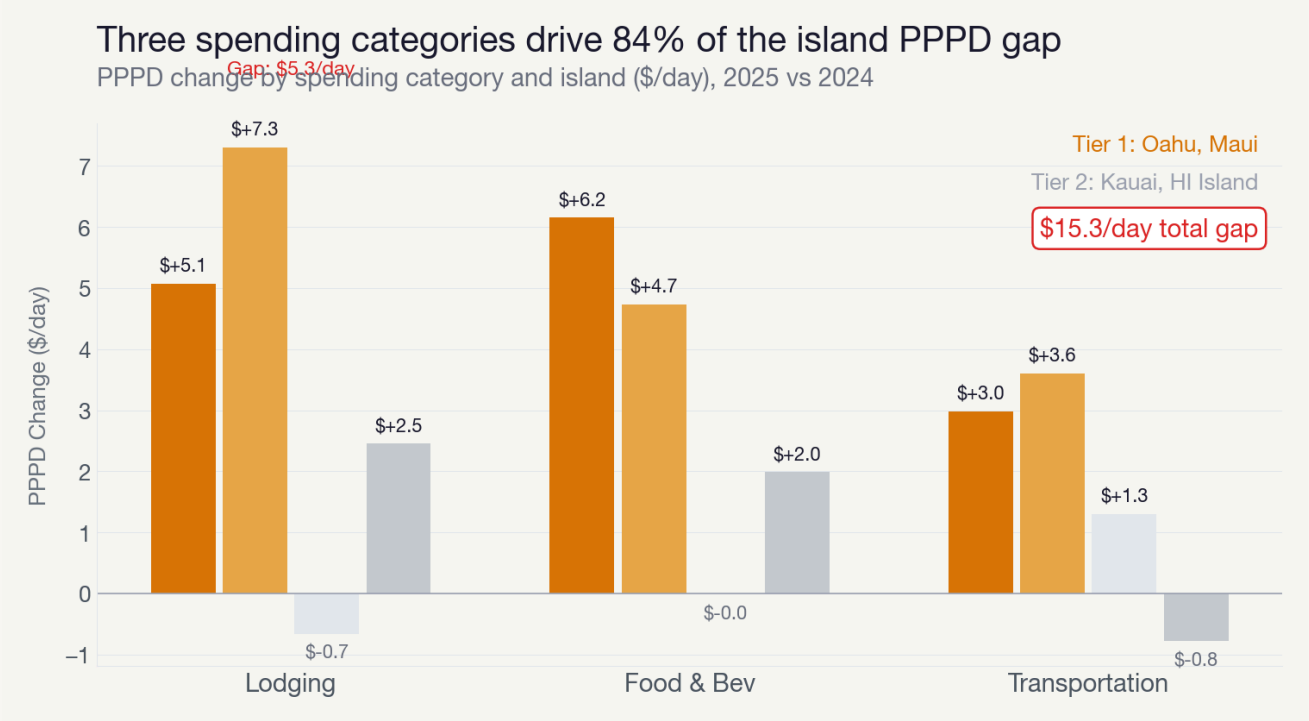


Fire recovery = $8.0/day of $21.6/day PPPD growth

Hotel share rose +2.5pp. Jan-May hotel growth: +15% to +35% YoY. H2 decelerated to +0-7%. Friends/Relatives visitors declined -9.0% as they returned to reopened hotels.

The H2 run rate (+3.5% avg) is the better forward indicator. Do not extrapolate the full-year number.

A $15.3/day spending gap is widening between Tier 1 and Tier 2 islands



Three categories drive 84% of the gap

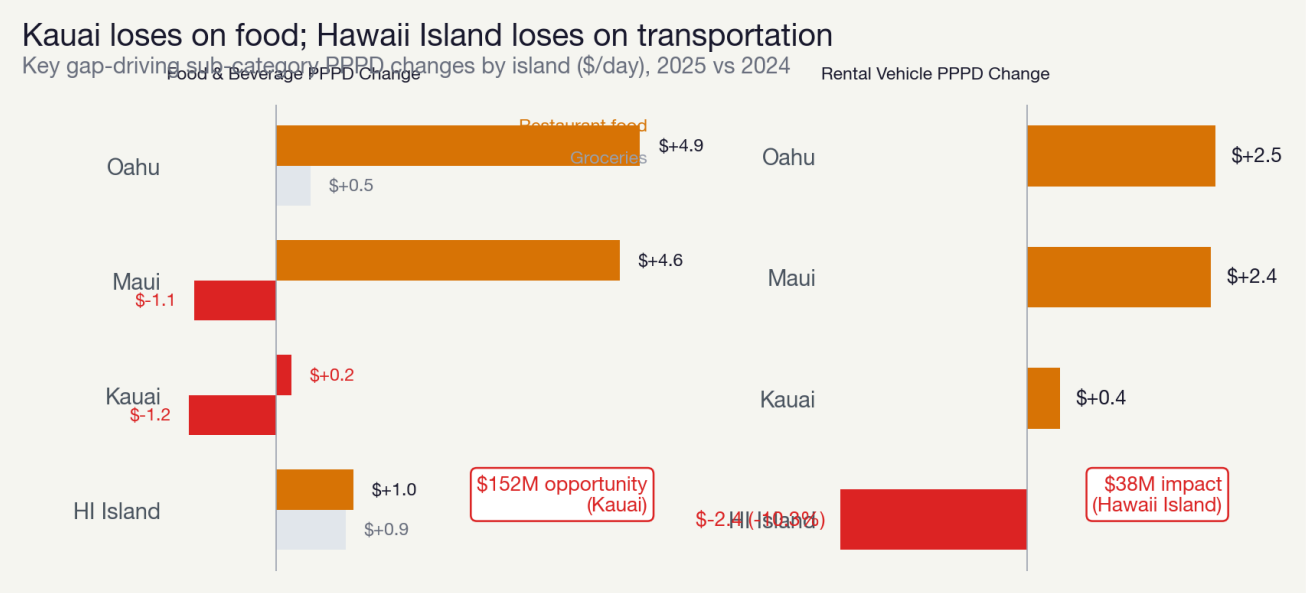
Lodging: $5.3/day gap. Food & Beverage: $4.5/day gap. Transportation: $3.0/day gap. Within-island spending explains 94.7% of the change — this is not a mix effect.

The spending divergence is real behavioral difference. Kauai and Tier 2 nominal growth may already be below inflation.

Kauai's food stagnation and Hawaii Island's rental car collapse

Two different problems, two different solutions

Kauai: restaurant food flat (+$0.2/day), groceries declining (-$1.2/day). 58.5% of visitors stay outside hotels — the highest of any island. Hawaii Island: rental vehicles -$2.4/day (-10.3%) — the only island with a decline.



$152M

KAUAI UPSIDE

if matched Oahu PPPD growth

$38M

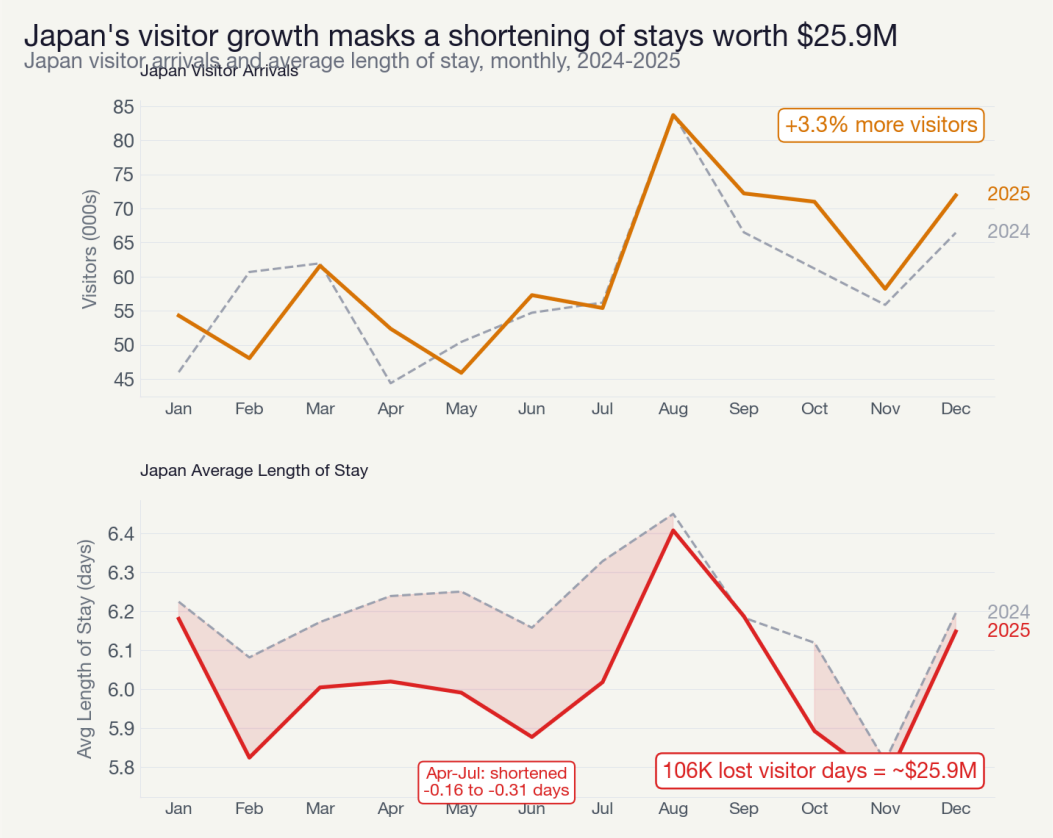
HI ISLAND TRANSPORT LOSS

rental vehicle -10.3%

Japan is sending more visitors. Each one is worth less.

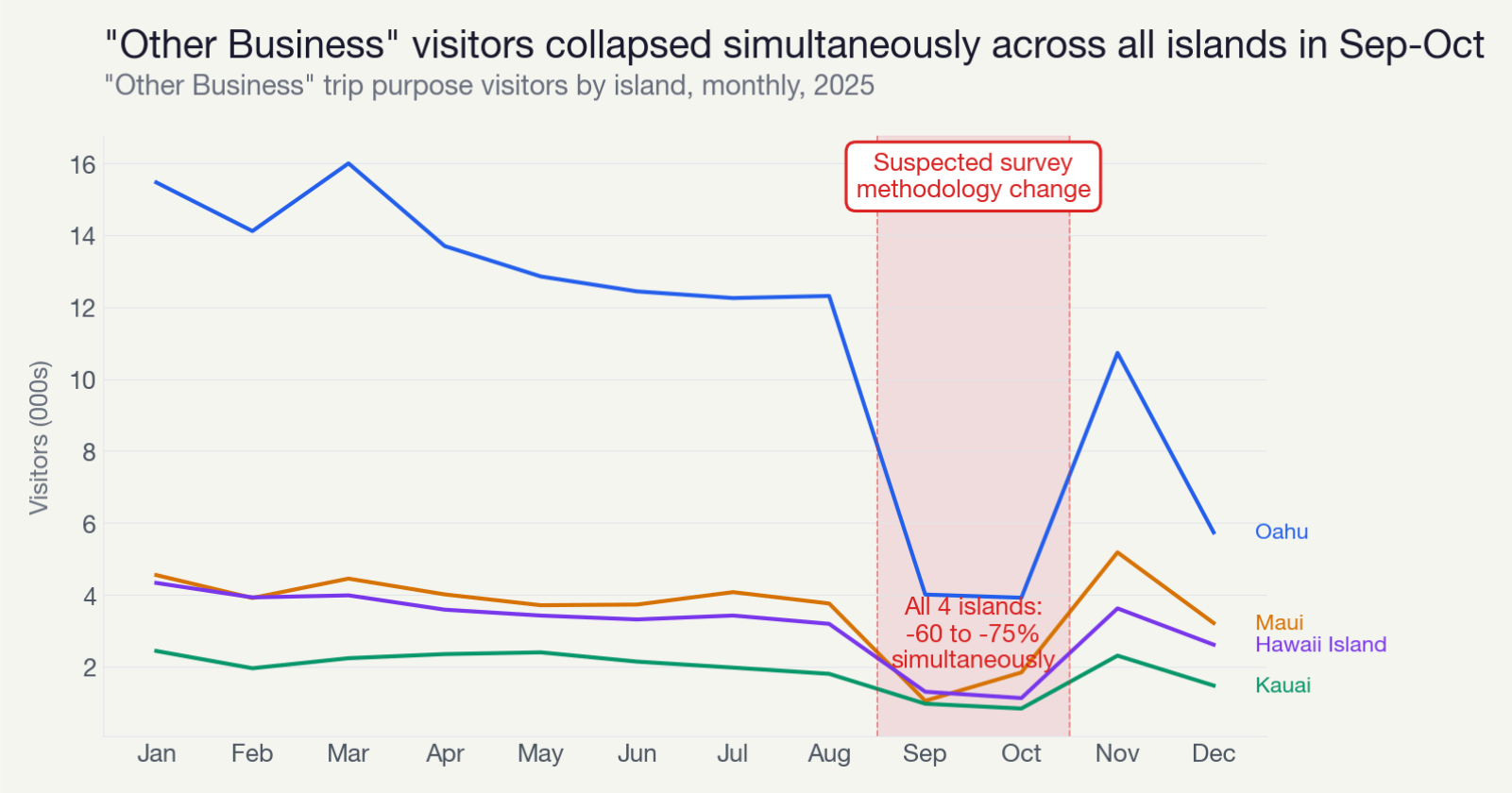
Volume up 3.3%. Visitor days up only 0.9%. The gap is $25.9 million.

Japan is sending more visitors but getting less from each one



Average stay shortened from 6.19 to 6.05 days (-0.14 days) = 106,032 lost visitor days. Profile shift: younger (-0.89 years), smaller parties, fewer prior trips, moving from timeshares to hotels. Shopping PPPD grew +6.5% — not budget travelers, but structurally different ones.

A Sep-Oct data anomaly makes H2 trip purpose analysis unreliable



A simultaneous 60-75% collapse in "Other Business" visitors across all four islands in the same two-month window is almost certainly a DBEDT survey methodology change, not a real behavioral shift. Sep-Dec 2025 trip purpose data should be treated as non-comparable.

Five problems, five interventions — and one data caveat

Five problems, five interventions — and one data caveat

Each problem has a specific root cause, dollar impact, and recommended action

Problem	Island / Market	Impact	Root Cause	Recommended Action
Domestic hotel demand erosion	Oahu	$192M lost spending	H2 domestic flight decline; hotel competitiveness	Competitive pricing review vs alternative destinations
Fire-recovery PPPD inflation	Maui	37% of $21.6/day growth	Hotel reopenings shifting accomm. mix	Rebase 2026 forecast to H2 rate (+3.5%); don't extrapolate
Visitor stay shortening	Japan market	$25.9M lost spending	Structural profile shift: younger, shorter-stay	Per-day spending packages (shopping, entertainment)
Food spending stagnation	Kauai	$152M upside opportunity	Self-catering in non-hotel accomm. (58.5% share)	Restaurant & dining investment near vacation rentals
Ground transport collapse	Hawaii Island	$38M spending decline	Rental vehicle PPPD -10.3% (island-specific)	Investigate tour operator substitution; assess oversupply

Data caveat: Confirm DBEDT survey methodology change before using Sep-Dec trip purpose data for strategy

Three actions to prioritize for 2026 budget allocation

1 Conduct Oahu domestic hotel competitiveness review

HIGH

Owner: HTA + Oahu CVB | **Decide by:** Mar 31 | **Check-in:** Jun 30

Compare Oahu hotel pricing vs. Maui, Mexico, Caribbean, Las Vegas. Track hotel visitors monthly — if trend continues, it is structural. **If unsuccessful:** Escalate to full market study with STR data.

2 Invest in Kauai dining infrastructure near vacation rental corridors

HIGH

Owner: Kauai CVB | **Decide by:** Apr 30 | **Check-in:** Q1 2027

The $4.5/day food gap = $152M annual opportunity. Target: restaurant food PPPD +$1.5/day. **If unsuccessful:** Shift to value-tier dining or food truck deployments near rental clusters.

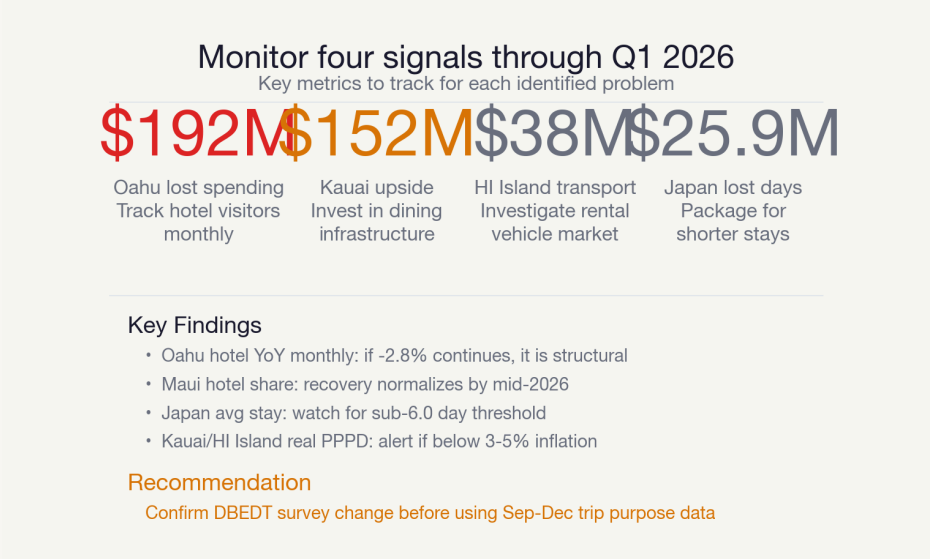
3 Package Japan marketing for shorter, higher-intensity stays

HIGH

Owner: HTA Japan Marketing | **Decide by:** Apr 15 | **Check-in:** Oct 15

Target: total PPPD +5% to offset LOS erosion. Shopping (+$3.0/day) and entertainment (+$1.2/day) are the growth categories. **If unsuccessful:** Investigate yen-driven vs. preference-driven LOS shortening.

Monitor four signals through Q1 2026



Signal	Threshold	If Triggered
Oahu hotel visitors (monthly YoY)	3+ months below -2%	Structural problem; escalate pricing review
Maui hotel share	Share stops growing or reverses	Fire recovery complete; rebase forecasts
Japan avg length of stay (quarterly)	Below 6.0 days	Volume-day divergence accelerating
Kauai & HI Island real PPPD	Nominal growth < 3%	Negative real spending; urgent intervention

Appendix: Data Sources & Methodology

Data sources:

- DBEDT visitor exit surveys (monthly, 2024-2025)
- Airline capacity data (domestic and international flights)
- PPPD spending breakdowns by island and category

Time period: January 2024 through December 2025 (24 months)

Scope: All four major Hawaiian islands — Oahu, Maui, Kauai, Hawaii Island

Key methodological notes:

- PPPD = Per Person Per Day spending (survey-based)
- Shift-share decomposition separates within-island vs. between-island effects
- Fire-recovery counterfactual benchmarks Maui lodging against Kauai's rate
- 2025 data is preliminary (DBEDT designation "2025P")

Appendix: Data Quality Caveats

- **Hotel share percentages** (e.g., 45.6% to 48.1% for Maui) could not be exactly reproduced from any single metric; directional claims are correct but exact percentages are approximate
- **Japan length-of-stay** shortening is -0.148 days from annual aggregates, rounding to -0.14 or -0.15 depending on precision (~1,784 visitor day discrepancy)
- **PPPD data** is survey-based; small segments have high sampling variability
- **No exchange rate data** available to adjust international PPPD for currency effects (USD/JPY, USD/CAD)
- **No CPI sub-index data** to formally decompose nominal vs. real PPPD growth
- **Sep-Dec 2025 trip purpose data** should be treated as non-comparable pending DBEDT confirmation
- **Validation results:** 28 core quantitative claims PASS, 3 WARN (minor precision), 0 FAIL

Appendix: Additional Charts

PPPD by Island

Full island-level spending breakdown

PPPD by Category

All spending categories across islands

PPPD by Market

Source market spending comparison

Visitor Volume YoY

Monthly visitor trends by island

Japan PPPD Detail

Japan spending by category

Impact Summary

Combined dollar impact visualization

Additional charts available upon request. Source analysis: `outputs/narrative_hawaii_tourism_2026-02-15.md`